It means that even if Nifty fills the gap and trades on the downside, we will lose only Rs.2,550 per lot (worst scenario).

But If it moves on the upside, we can make up to Rs.4,950 per lot (maximum potential).

Hence, we can hold the trade even if it trades downside for some time, isn't it?

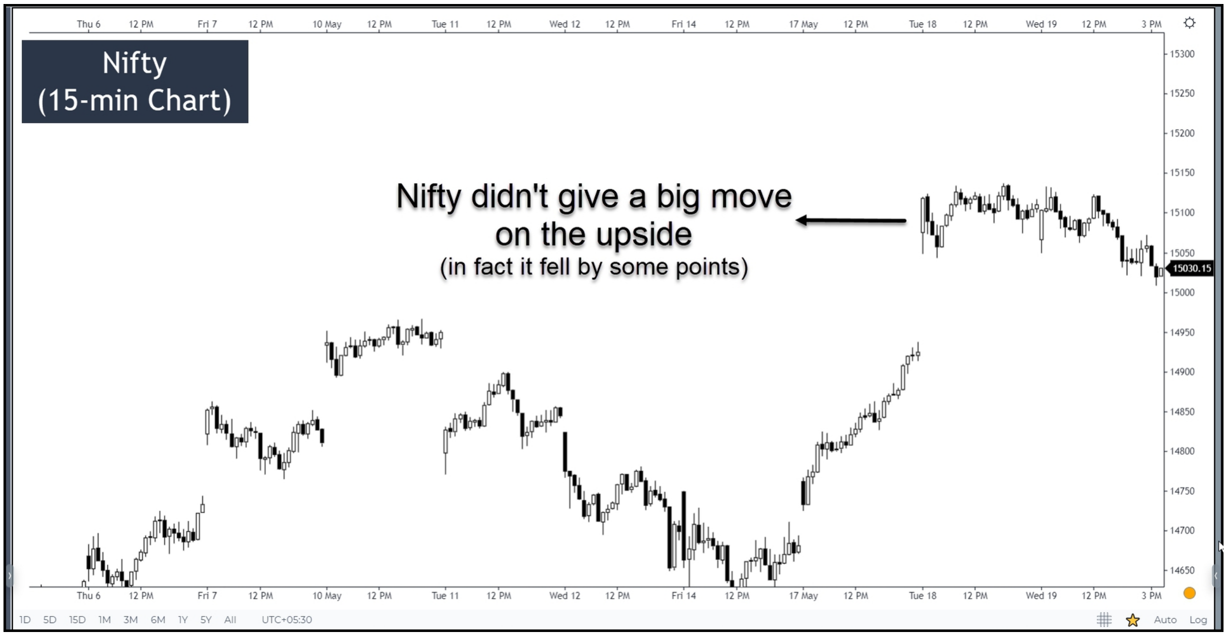

Image 9.3 – Nifty at EOD close

The market throws unexpected results most of the time.

Even after such a solid bullish setup, Nifty failed to give any significant move on the upside.

Options Position at EOD close

Nifty 15200 PE at 119

Nifty 15100 PE at 38

But we still end up making 15 points (Rs.1,125 per lot) profit primarily due to time decay.

This is the advantage of the Credit spread strategy.

<u>Example 2 – Bharti Airtel on 28-July-2021 (Monthly Expiry)</u>